

**THE UNITED REPUBLIC OF TANZANIA
PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NJOMBE REGION
FORM SIX PRE-MOCK EXAMINATION**

151/2

ECONOMICS 2

(For Both School and Private Candidate)

Time 3 Hours

Thursday , 20th August 2026 p.m

Instructions

1. This paper consists of two sections A and B with total **eight (08)** questions, **Four (04)** questions in each section.
2. Answer **all** questions in section A and any **three (03)** questions in section B.
3. Each question in section A carries **ten (10)** marks and question in section B carries **twenty (20)** marks each.
4. Non programmable calculators may be used.
5. Write your Examination Number on **every** page of your answer booklet(s).

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SECTION A (20 Marks)

Answer all questions from this section.

1. Distinguish between the following economic concepts:
 - (i) Entrants and Re-entrants.
 - (ii) Investment multiplier and Withdrawals of multiplier.
 - (iii) Micro-economics and Macro-economics.
 - (iv) Nominal GDP and Real GDP.
 - (v) Sinking fund and capital levy.
2. Why do you think barter trade was replaced by the use of money? Provide **five (05)** points.
3. Consider the expenditure and income items of an economy, then answer the following questions.

DETAILS	FIGURE IN MILLIONS
Personal taxes	40
Social security contributions	15
Indirect business taxes	20
Corporate income taxes	40
Transfer payments	22
Tanzania Exports	24
Tanzania imports	22
Subsides	10
Personal consumption expenditures	255
Gross private domestic investment	75
Undistributed corporate profits	35
Government purchases	95
Capital consumption allowances	25
Dividends	2
Net foreign factor income earned in Tanzania	10

Required:

- (a) GDP at factor cost using expenditure method.
 - (b) Net domestic product.
 - (c) National income.
 - (d) Personal income.
 - (e) Disposable income.
4. (a) "A country has a population of 249 millions, 55 million employed people, 95 million unemployed people actively seeking work and 30 millions people who are retired or not seeking work." What is unemployment rate? and comment on your answer.
- (b) From your comment(s) in (a) above is it healthy to the economy or not? Give reasons (four (4) reasons).
- (c) Basing to the reasons in (b) above suggest four (4) ways to calm the situation.

SECTION B (60 Marks)

Answer only three (03) questions from this section.

5. "Any country has different sources of revenue so as to achieve it's plans". Explain any **six (06)** principles of public expenditure.
6. Examine the scope of macroeconomics by linking it to Tanzania's key economic concerns, such as trade balance, unemployment, inflation and national income. Explain how understanding this scope can help policy makers to make better economic decisions. **Six (06)** points
7. "High unemployment rate in the country is not only burden to the individuals, even to the government." Critically explain **two (02)** causes of frictional unemployment, **two (02)** effects of frictional unemployment and **two (02)** solution of frictional unemployment.

8. The president of the United Republic of Tanzania Samia Suluhu Hassan in her speech complained on the presence of inflation problem to the Tanzanian Economy. As economic student advice her what to do so as to overcome the problem. Use **six (06)** monetary policy measures.

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